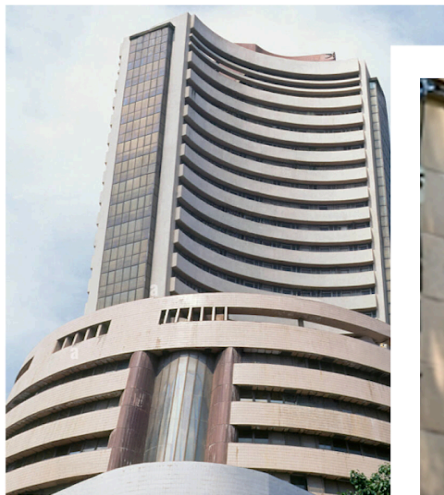


General Knowledge

Indian Economy

STUDY NOTES

FDI FII FPI



FDI FII FPI

Foreign Investment

Foreign Investment refers to the investment of capital by individuals, corporations, or governments from one country into the businesses, assets, or financial instruments of another country.

Nodal Agencies for Foreign Investment in India

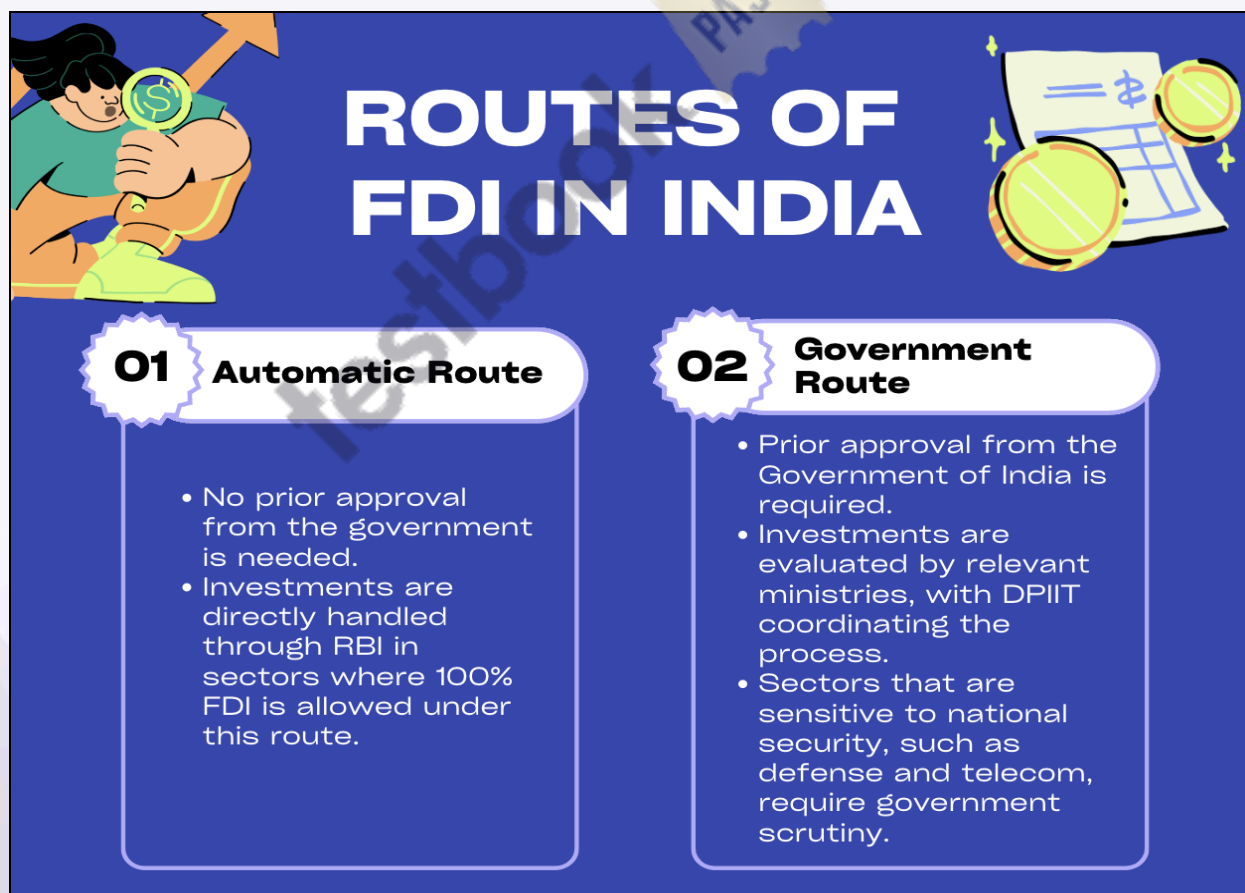
- **Department for Promotion of Industry and Internal Trade (DPIIT):**
 - Under the Ministry of Commerce and Industry.
- **Key agency for FDI policy formulation and promotion:**
 - Monitors and facilitates FDI inflows.
- **Securities and Exchange Board of India (SEBI):**
 - Regulates FPI and FIIs in the Indian financial markets.
 - Ensures smooth functioning of the stock markets and prevents fraud.
- **Reserve Bank of India (RBI):**
 - Regulates foreign exchange flows through FEMA (Foreign Exchange Management Act), 1999.
 - Plays a crucial role in managing the overall financial stability of the country and monitoring capital inflows.
- **Foreign Investment Promotion Board (FIPB) (defunct since 2017):**
 - Earlier responsible for clearing FDI proposals requiring government approval, now replaced by DPIIT and respective ministries.
- **Ministry of Finance:**
 - Handles financial policies, including taxation on foreign investments.
 - Coordinates with other agencies to ensure alignment with fiscal goals

Foreign Direct Investment (FDI)

- Foreign Direct Investment (FDI) refers to investment made by a foreign entity (individual, company, or government) directly into the productive assets of another country.
- In India, FDI plays a crucial role in the development of sectors like manufacturing, technology, and infrastructure, and contributes to economic growth by enhancing capital inflows, technology transfer, and employment opportunities.

Regulations and Framework

- **Foreign Exchange Management Act (FEMA), 1999:**
 - FEMA is the primary law that governs foreign exchange and payments, ensuring smooth cross-border capital movement.
- **FDI Policy:**
 - FDI policy is governed by the Department for Promotion of Industry and Internal Trade (DPIIT), which releases periodic updates regarding permissible investment limits, sectors, and restrictions.
- **Make in India Initiative:**
 - Launched in 2014 to encourage FDI by simplifying regulations and creating a more investor-friendly environment, especially in the manufacturing sector.
- **Atmanirbhar Bharat:**
 - A recent policy focus to attract FDI in sectors like defense and electronics, reducing dependency on imports and boosting domestic manufacturing.



KEY FEATURES OF FDI

1 OWNERSHIP AND CONTROL

In FDI, foreign investors gain a significant degree of ownership (often 10% or more of the company) and control over the company's management and operations.

2 LONG-TERM INVESTMENT

FDI is focused on long-term involvement in the business operations and does not involve easy withdrawal, unlike short-term foreign portfolio investments (FPI).

3 EQUITY INVESTMENTS

It usually involves investment through the purchase of equity shares, mergers and acquisitions, or by setting up new companies (Greenfield investments).

4 SECTORAL LIMITS

India has specific sectoral caps that define the extent of FDI permissible in different sectors. Certain sectors allow 100% FDI, while others have restrictions.





SECTOR-WISE FDI LIMITS (AS OF 2024)

01 100% FDI UNDER AUTOMATIC ROUTE

- Infrastructure (Roads, Highways)
- E-commerce (Marketplace model)
- Telecom Services
- Renewable Energy



02 49% OR LESS FDI WITH GOVERNMENT APPROVAL

- Defense: Up to 49% under the automatic route; above 49% under the government route.
- Print Media: 26% FDI permitted with government approval.



03 SECTORS WHERE FDI IS PROHIBITED

Atomic energy, railway operations (except for specific sectors like high-speed rail), real estate (other than construction), and agriculture (except horticulture, floriculture, etc.).



Recent Trends in FDI Inflows

- **Top FDI Sources:** Countries like Singapore, the USA, and Mauritius remain the largest contributors of FDI to India.
- **Sectors Receiving Maximum FDI:**
 - **Services:** IT, financial services, business outsourcing.
 - **Telecommunications:** Especially after the 100% FDI allowance in this sector.
 - **E-commerce:** Growth of online retailing platforms like Amazon and Flipkart.
 - **Automobiles:** Major auto manufacturers like Suzuki, Honda, and Hyundai have long-standing

FDI Reforms and Policies (Recent Developments)

- **Increased FDI Cap in Insurance:**
 - The FDI cap in the insurance sector was increased from 49% to 74% in 2021 to attract more foreign investment in this sector.
- **Defense Sector Reforms:**
 - To promote self-reliance, the defense sector has witnessed increased FDI limits from 49% to 74% under the automatic route.
- **FDI in Digital Media:**
 - FDI up to 26% is permitted with prior government approval in digital news platforms.
- **Single Brand Retail:**
 - Up to 100% FDI is allowed in single-brand retail under the automatic route, facilitating global companies like Apple and IKEA to set up direct operations.

FROM ECONOMIC SURVEY (2023-24)

- **Global Foreign Direct Investment (FDI)**
 - Global FDI declined marginally by 2% to USD 1.3 trillion in 2023 (UNCTAD).
 - Over the last two decades, India's FDI and equity portfolio inflows have totalled about **2.5% of GDP annually (IMF, 2023).**
- **FDI in the Industry and Services Sector**
 - Recent years have seen a decline in FDI inflows relative to GDP, particularly in the industry and services sectors.

- **Net FDI inflows to India declined from USD 42.0 billion during FY23 to USD 26.5 billion in FY24.**
- However, gross FDI inflows moderated by only 0.6% in FY24.
- The share of industry sector FDI in GDP dropped from 0.62% in FY20 to 0.39% in FY24.
- Similarly, the services sector's FDI share decreased from 0.87% to 0.69% over the same period.
- Investment intentions have shifted notably towards new and futuristic sectors such as renewables, artificial intelligence, EVs, and semiconductors. This shift indicates a growing attractiveness of high-tech and sustainable sectors for FDI.
- **Physical FDI vs Digital FDI**
 - Historically dominant, physical FDI (includes sectors such as automobiles, pharmaceuticals, and construction) has faced challenges due to geopolitical factors and the rise of non-equity modes of international production like contract manufacturing.
 - Rising protectionism and geopolitical tensions have constrained physical FDI, affecting sectors reliant on traditional manufacturing and infrastructure investments
 - While, digital FDI (computer services, telecommunications, consultancy services, and information and broadcasting) witnessed significant growth, driven by sectors like software, hardware, and digital services.
 - The share of digital FDI in total FDI rose from 46.6% in FY17 to 69.2% in FY21.
 - Enhanced by global trends towards digital transformation, including AI, cybersecurity, and data analytics, India has become a preferred destination for digital investments.
 - The pandemic accelerated this trend as digital infrastructure became essential for business continuity.

Advantages of FDI in India

- **Capital Infusion:** It provides necessary capital inflows to boost sectors like infrastructure and manufacturing.
- **Technology Transfer:** FDI brings advanced technologies and expertise, boosting productivity in various sectors.
- **Employment Generation:** The establishment of foreign businesses in India creates job opportunities for skilled and unskilled workers.

- **Export Promotion:** FDI enhances India's export competitiveness, especially in sectors like textiles, automobiles, and pharmaceuticals.

Challenges with FDI

- **National Security Concerns:** Certain investments in sensitive sectors like defense, telecom, and technology raise concerns over national security.
- **Impact on Domestic Industries:** In some sectors, foreign competition may negatively impact small domestic firms.
- **Repatriation of Profits:** There is often concern that a large portion of profits made by foreign companies is repatriated to their home countries rather than reinvested in India.

Steps for FDI Promotion in India

- **Policy Reforms**
 - **Simplification of FDI Policies:** The Indian government continuously simplifies FDI policies to make them more investor-friendly.
 - Periodic updates to sectoral limits and the automatic approval process (for example, increasing limits in defense, insurance, and e-commerce).
 - **FDI Liberalization:** Removing restrictions and allowing 100% FDI in several sectors under the automatic route, such as single-brand retail, infrastructure, and telecom.
- **FDI-Friendly Schemes and Initiatives**
 - **Make in India:** Launched in 2014, this initiative aims to make India a global manufacturing hub by facilitating investment, innovation, and building best-in-class infrastructure.
 - **Key Focus Areas:** Automobiles, electronics, pharmaceuticals, and defense production.
 - **Start-up India:** Promotes FDI in India's start-up ecosystem by creating favorable policies for funding, especially in technology and innovation sectors.
 - **Production Linked Incentive (PLI) Scheme:** Designed to attract global manufacturers by offering financial incentives for setting up large-scale production units in sectors like electronics, pharmaceuticals, automobiles, and telecom equipment.
- **Ease of Doing Business Reforms**
 - **Improving the Business Environment:** India has made notable improvements in its World Bank's Ease of Doing Business rankings through digital reforms in company registration, tax systems, and permit approvals.

- **The Single Window Clearance System** for industrial approvals speeds up the investment process, reducing bureaucratic delays.
- **Digitization of Government Services:** Digital platforms like the National Single Window System (NSWS) provide one-stop services to investors for clearances and registrations.
- **Faster Dispute Resolution:** The establishment of fast-track commercial courts and online grievance redressal systems reduces legal uncertainties for foreign investors.
- **Infrastructure Development**
 - **Special Economic Zones (SEZs):** SEZs provide tax incentives, reduced regulatory burdens, and world-class infrastructure to attract foreign investments.
 - **Development of Industrial Corridors:** Government-led projects like the Delhi-Mumbai Industrial Corridor (DMIC) and Chennai-Bengaluru Industrial Corridor offer state-of-the-art infrastructure, transportation, and logistics support to global businesses.
 - **Upgrading Transportation and Energy Infrastructure:** Investment in ports, highways, railways, and renewable energy to create a seamless ecosystem for foreign investors.
- **Sector-Specific Liberalization**
 - **Defense:** The FDI limit increased from 49% to 74% under the automatic route to boost defense manufacturing.
 - **Insurance:** The FDI limit was raised to 74%, allowing foreign firms more control in the insurance sector.
 - **E-Commerce:** 100% FDI allowed in the marketplace model of e-commerce, attracting companies like Amazon and Walmart (Flipkart).
 - **Telecom:** 100% FDI allowed to promote technological advancement and expansion of telecom infrastructure.
- **Incentives and Tax Benefits**
 - **Corporate Tax Rate Reduction:** The government reduced the corporate tax rate for new manufacturing firms to 15%, one of the lowest in the world, to attract FDI.
 - **Tax Holidays:** SEZs and other industrial areas offer tax holidays, exemptions on import duties, and other financial benefits to foreign companies investing in specific sectors.
- **Promotion of FDI in Emerging Sectors**
 - **Renewable Energy:** 100% FDI permitted in the renewable energy sector, promoting investments in solar, wind, and other green energy projects.
 - **Digital Economy:** Promotion of investments in fintech, artificial intelligence, and e-commerce sectors, fostering global collaboration and technological advancement.

- **Healthcare:** Encouraging investments in hospitals, diagnostics, and medical devices, especially post-COVID-19.
- **Strengthening Bilateral and Multilateral Relations**
 - **Bilateral Investment Treaties (BITs):** India has signed several BITs with countries to promote FDI by offering legal protections and promoting mutual economic ties.
 - **Multilateral Forums:** Active participation in forums like the World Trade Organization (WTO), BRICS, and ASEAN, promoting India as an attractive destination for FDI.
 - **Promotion and Outreach**
 - **Global Investor Summits:** India hosts investor summits such as the Vibrant Gujarat Summit, Global Investor Meet, and India Investment Forum to showcase its investment potential to global investors.
 - **FDI Roadshows Abroad:** The Indian government conducts roadshows in major financial capitals like New York, London, and Tokyo to attract foreign investors and present opportunities in various sectors.
 - **Engaging with Overseas Indian Communities:** Promotion of investments from Non-Resident Indians (NRIs) and Overseas Corporate Bodies (OCBs) through specific schemes and tax incentives.
- **Regulatory Reforms**
 - **Simplifying Foreign Exchange Regulations:** The Foreign Exchange Management Act (FEMA), 1999 has been amended multiple times to simplify foreign exchange transactions and allow smoother capital flows.
 - **Relaxing Sectoral Restrictions:** Key industries such as defense, civil aviation, and real estate have seen relaxed norms to allow more FDI participation.

Foreign Portfolio Investment (FPI)

Foreign Portfolio Investment (FPI) refers to the investment made by foreign entities (individuals, institutional investors, or companies) in the financial assets of another country, such as stocks, bonds, or other financial instruments.

KEY FEATURES OF FPI

1 OWNERSHIP WITHOUT CONTROL

FPI involves purchasing financial assets like stocks or bonds in Indian companies but without acquiring any controlling stake.

2 SHORT-TERM INVESTMENT

Unlike FDI, which is long-term, FPI is more liquid and can be easily withdrawn. Investors can exit quickly, making it a more volatile investment.

3 PORTFOLIO DIVERSIFICATION

FPI allows foreign investors to diversify their investments across different sectors and assets in India, such as equities and debt instruments.

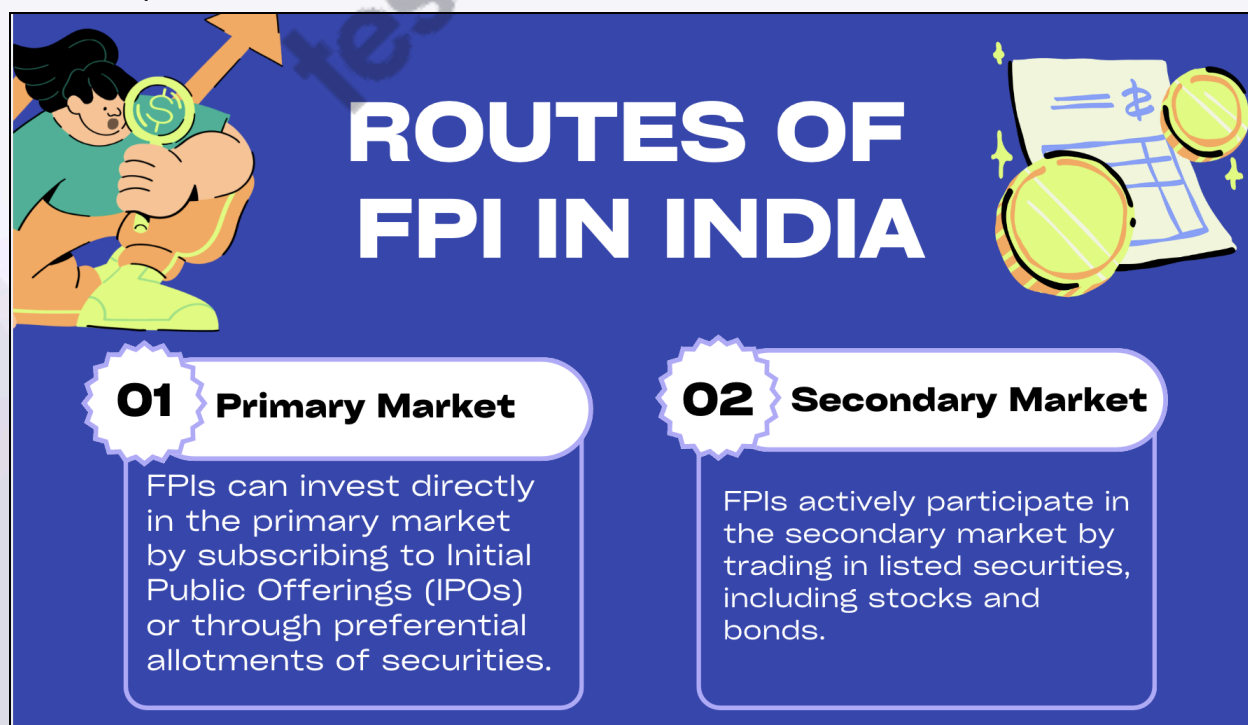
Types of FPIs

- **Equity Investments:** Involves buying shares of Indian companies listed on stock exchanges like the NSE (National Stock Exchange) and BSE (Bombay Stock Exchange).

- **Debt Instruments:** Foreign investors can invest in government bonds, corporate bonds, and other fixed-income securities issued in India.

Regulatory Framework for FPI in India

- **Securities and Exchange Board of India (SEBI):** SEBI is the primary regulator of FPI in India, and it ensures the smooth functioning of Indian capital markets.
 - SEBI has created the Foreign Portfolio Investor (FPI) Regulations, 2019, which governs the registration, eligibility, and investment guidelines for foreign investors.
- **Reserve Bank of India (RBI):** The RBI regulates foreign exchange transactions under the Foreign Exchange Management Act (FEMA), 1999, ensuring that foreign capital inflows and outflows are well-regulated.
- **Foreign Portfolio Investor (FPI) Categories:** SEBI has classified FPIs into three categories based on the risk and investment profile of the investors:
 - **Category I:** Government and regulated entities (central banks, sovereign wealth funds, multilateral organizations).
 - **Category II:** Mutual funds, banks, asset managers, and insurance firms.
 - **Category III:** Broadly any other investors who do not fall under Category I or II, including high-net-worth individuals (HNWIs), family offices, and retail investors.
- **Eligibility Criteria for FPI:**
 - Foreign investors must be registered with SEBI as Foreign Portfolio Investors (FPI).
 - They need to comply with Know Your Customer (KYC) norms and other regulatory requirements.



Limits on FPI Investment in India

- **Equity Markets:** FPIs can invest up to 10% in any single company, and the total foreign holding (including FDI) in a company must not exceed the sectoral cap (generally 74% in most sectors).
- **Debt Markets:** The RBI and SEBI impose restrictions on foreign investments in government and corporate bonds to prevent excessive foreign control over India's debt markets.
- There are limits on government debt exposure, known as investment caps or G-sec limits, which are periodically reviewed by the RBI.

Advantages of FPI in India

- **Capital Inflow:** FPI provides a large and crucial capital inflow into Indian capital markets, helping to maintain liquidity and support economic growth.
- **Enhances Market Efficiency:** Active participation of FPIs in stock and bond markets increases competition and efficiency, improving corporate governance and transparency among Indian companies.
- **Supports Financial Markets:** FPI helps Indian companies raise capital at competitive costs and also diversifies the investor base of Indian financial markets.

Challenges of FPI in India

- **Market Volatility:** FPI flows can be highly volatile and can lead to sudden market disruptions. Large withdrawals by FPIs during global financial crises can cause stock market crashes or depreciation of the Indian rupee.
- **Currency Risks:** FPI investors are subject to currency fluctuations. If the rupee depreciates, the value of their investments can fall, causing them to exit Indian markets quickly.
- **Taxation Uncertainty:** Sudden changes in taxation policies (such as capital gains tax) on FPIs can affect investor sentiment and lead to the withdrawal of funds.
- **Recent Trends in FPI Inflows:**
 - In recent years, FPIs have favored sectors such as financial services, information technology, consumer goods, and pharmaceuticals.
 - India witnessed a record inflow of FPI during 2020-2021, especially in equity markets, driven by lower global interest rates and India's strong economic recovery post-COVID-19.

Government Initiatives to Attract FPI

- **Rationalization of Tax Policies:** The government has introduced favorable tax treatments for FPIs, such as tax exemptions on certain types of capital gains and lower tax rates for foreign investors in debt instruments.
- **Stable Regulatory Environment:** SEBI's **FPI reforms** in 2019 aimed at simplifying FPI registration and compliance processes to make it easier for foreign investors to enter Indian markets.
- **International Financial Services Centre (IFSC):** The establishment of the GIFT City (Gujarat International Finance Tec-City) in Gujarat allows FPIs to operate in a globally competitive regulatory environment with tax incentives and streamlined financial operations.
- **Increased FPI Limits in Government Debt:** The RBI has relaxed FPI limits in government debt to attract long-term investment in India's bond market, reducing the country's reliance on domestic borrowings.

Impact of FPI on Indian Economy

- **Strengthening Capital Markets:** FPI boosts the liquidity of the Indian stock and bond markets, helping companies raise capital for expansion.
- **Foreign Exchange Reserves:** The influx of foreign portfolio investment helps to build India's foreign exchange reserves, stabilizing the rupee and making India less vulnerable to external shocks.
- **Economic Growth:** By providing liquidity and capital, FPI supports economic growth, particularly in sectors like IT, banking, and pharmaceuticals, where Indian companies are globally competitive.
- **Volatility during Crises:** While FPI provides significant capital inflows, it can also destabilize markets during times of global uncertainty, as seen during the 2008 financial crisis and the COVID-19 pandemic.

Foreign Institutional investments (FIIs)

Foreign Institutional Investors (FIIs) refer to institutions or entities outside India that invest in India's financial markets, such as equities, debt, and derivatives. FIIs play a significant role in Indian markets by providing liquidity and driving growth. However, FII investments are often

seen as volatile, as they can enter and exit markets quickly, unlike Foreign Direct Investment (FDI), which is typically long-term.

Regulatory Framework for FIIs in India

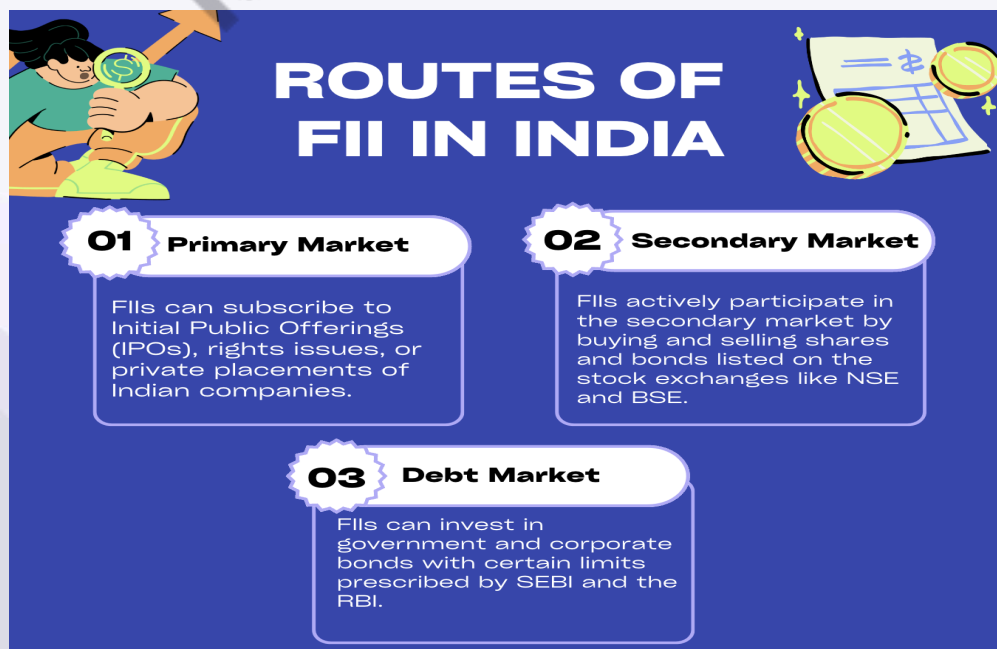
- **Securities and Exchange Board of India (SEBI):** SEBI regulates FIIs under the SEBI (Foreign Portfolio Investors) Regulations, 2019, which merged FIIs, Sub-Accounts, and Qualified Foreign Investors (QFIs) into a single category called Foreign Portfolio Investors (FPIs).

(Even though the term "FII" has been merged with FPI, it is often used to refer to institutional investors.)

- **Reserve Bank of India (RBI):** The RBI monitors the flow of funds and foreign exchange transactions related to FIIs under the Foreign Exchange Management Act (FEMA), 1999.
- **Foreign Investment Promotion Board (FIPB):** The FIPB is used to handle cases where FII investments require government approval. However, FIPB was dissolved in 2017, and now most investments come under the automatic route.

Categories of FIIs

- **Pension Funds and Insurance Companies:** These investors typically invest in bonds and stocks for long-term returns.
- **Mutual Funds and Hedge Funds:** Hedge funds often seek high returns in the short term and engage in riskier investment strategies.
- **Sovereign Wealth Funds:** State-owned investment funds or entities invest in Indian markets to diversify their portfolio and gain returns.



KEY FEATURES OF FII

1

INSTITUTIONAL INVESTORS

FII's include foreign institutions such as mutual funds, pension funds, hedge funds, insurance companies, investment trusts, and banks that invest in Indian securities.

MARKET PARTICIPATION

FII's can invest in India's stock market, debt market (bonds), and derivatives, contributing to the liquidity of these markets.

2

PORTFOLIO INVESTMENT

3

FII's are involved in portfolio investment, meaning they invest in financial assets like equities and bonds without seeking control over the companies or assets they invest in.

SHORT-TERM FOCUS:

4

FII investments are generally short-term in nature and are often driven by global market conditions, economic performance, and policy changes.



Limits and Restrictions on FII Investments

- **Equity Investments:** FII investments are subject to a cap of 10% of the paid-up capital of an Indian company. However, the combined FII and FDI investment cannot exceed the overall sectoral limits.
- **Debt Investments:** There are limits on FII investments in government and corporate bonds, known as investment caps. These caps are revised periodically by SEBI and the RBI.

Advantages of FIIs in India

- **Market Liquidity:** FIIs bring liquidity to Indian capital markets by buying and selling large quantities of stocks and bonds, which improves the efficiency of the markets.
- **Boosts Economic Growth:** FII inflows provide necessary capital to Indian companies for expansion, helping in economic growth and job creation.
- **Improves Corporate Governance:** FII investors often demand higher levels of corporate transparency and accountability, leading to improved corporate governance in Indian firms.
- **Strengthens Foreign Exchange Reserves:** FIIs bring foreign currency into the country, helping to build and strengthen India's foreign exchange reserves.

Challenges of FIIs in India:

- **Market Volatility:** FIIs are often termed as "hot money" because they can quickly withdraw their investments in response to global or domestic financial crises. This can lead to sudden market crashes and volatility.
- **Currency Depreciation:** FII outflows can lead to significant pressure on the Indian rupee, causing depreciation, especially during periods of economic uncertainty.
- **Dependence on Global Conditions:** FII investments are influenced by global financial conditions, geopolitical risks, interest rate movements in advanced economies (like the US), and monetary policies of other countries.
- **Tax Uncertainty:** Sudden changes in tax policies, such as the introduction of the capital gains tax, can affect FII sentiment and lead to withdrawals from Indian markets.

Government Initiatives to Encourage FII Inflows

- **Tax Reforms:** The Indian government has introduced favorable tax regimes to attract FIIs, such as reduced rates on capital gains tax for long-term investors.

- **Simplification of Regulations:** SEBI and the RBI have simplified FII registration and compliance processes, merging them with the broader FPI category to make it easier for foreign investors to invest in Indian markets.
- **Increasing Debt Market Limits:** The RBI has increased the FII limits on government and corporate debt investments, allowing foreign investors to diversify into Indian bonds.
- **Improving Ease of Doing Business:** Reforms aimed at improving India's Ease of Doing Business ranking, including simplification of regulatory and tax structures, have made the Indian market more attractive to FIIs.
- **GIFT City (Gujarat International Finance Tec-City):** The development of IFSC (International Financial Services Centres) in GIFT City provides a competitive environment for FIIs to operate with tax incentives and easier regulatory frameworks.

Impact of FIIs on Indian Economy

- **Stock Market Growth:** FIIs are significant players in India's stock markets. A rise in FII inflows often correlates with bullish market trends, while outflows can cause a market slump.
- **Foreign Exchange Reserves:** FIIs help build India's foreign exchange reserves as they bring foreign currency into the country, which strengthens the rupee and boosts the economy.
- **Sectoral Growth:** FIIs often favour certain sectors like information technology (IT), banking, and pharmaceuticals, driving growth in these industries.
- **Market Volatility:** Despite the benefits, FIIs can cause high volatility in the stock and currency markets, especially during times of global financial instability or when interest rates rise in developed countries like the US.

Recent Trends in FII Inflows

- In recent years, FIIs have favoured investments in sectors like financial services, technology, consumer goods, and healthcare.
- India has seen strong FII inflows, particularly in equity markets, due to its robust economic growth, lower global interest rates, and the government's focus on improving the business environment.

FOR QUICK REVISION

Feature	Foreign Direct Investment (FDI)	Foreign Portfolio Investment (FPI)	Foreign Institutional Investors (FII)
Definition	Investment in a business where the investor gains control over assets or management.	Investment in financial assets like stocks and bonds without control over companies.	Institutional investments in India's financial markets, like equities and bonds.
Nature of Investment	Long-term involves establishing a physical presence (factories, subsidiaries, etc.).	Short-term, focused on financial markets (stocks, bonds).	Short-term, volatile investments often move based on global trends.
Control	Investor has significant control or influence over the company's operations.	No control or influence over the management of companies.	No control acts as a passive investor in markets like stock exchanges.
Primary Focus	Building physical infrastructure, acquiring stakes in companies.	Earning returns from market movements (capital gains, dividends, etc.).	Providing liquidity to markets, mainly through equities and bonds.
Risk Level	Lower risk, as it involves long-term commitment and direct control.	Higher risk, as it is based on market fluctuations and short-term strategies.	High risk, susceptible to quick market changes and global trends.
Investment Type	Investment in physical assets, real estate, mergers, acquisitions.	Investment in stocks, bonds, and other financial instruments.	Primarily in stocks, bonds, and derivatives.

Volatility	Relatively stable, as FDI involves long-term commitments.	Highly volatile due to quick inflows and outflows based on market trends.	Highly volatile; can cause rapid changes in market conditions.
Sectors Invested In	Typically in manufacturing, infrastructure, technology, and services.	Primarily in financial markets (equities, debt instruments).	Mostly in stock markets, bonds, and derivatives.
Government Regulation	Regulated by DPIIT, monitored by SEBI and RBI.	Regulated by SEBI under the FPI framework.	Regulated by SEBI and monitored by RBI under FEMA.
Examples	Foreign companies setting up factories (e.g., IKEA, Ford).	Investments in stocks of companies like TCS, Infosys, etc.	Institutional investors like hedge funds and pension funds.
Key Benefits	Creates jobs, brings technology and knowledge transfer, and long-term capital flow.	Enhances market liquidity, and provides capital to Indian companies.	Increases liquidity in capital markets, and boosts economic growth.
Key Risks	Low; political, and regulatory risks in host countries.	High; market-driven risks due to global conditions and fluctuations.	High; can create market volatility, and potential for sudden outflows.